BRANDED CARDS & RETAIL BANK DIVISION

Kharismo’s 12 Month Journey

Customer Insights, Risk Analytics & Strategic Recommendations

Executive Review • Senior Leadership Presentation

Executive Portfolio Summary

12-Month Performance Overview Across 1,000 Active Accounts

Key Performance Indicators

$42.1M

Total Portfolio Spend

1,000 Active Accounts ($42.1k / Cardholder)

Year 1 Portfolio Snapshot

- **Strong Revenue Driver:** Total spend reached $42.13M, driven by high transaction volume and cash advances.
- **Balanced Default Risk:** Portfolio risk of default averaged 0.302, with total default exposure standing at $2.45M.
- **Accessible Pricing:** $150 annual fee drove fast acquisition, though specific fee structures require optimization.

Kharismo – Customer Demographic Insights

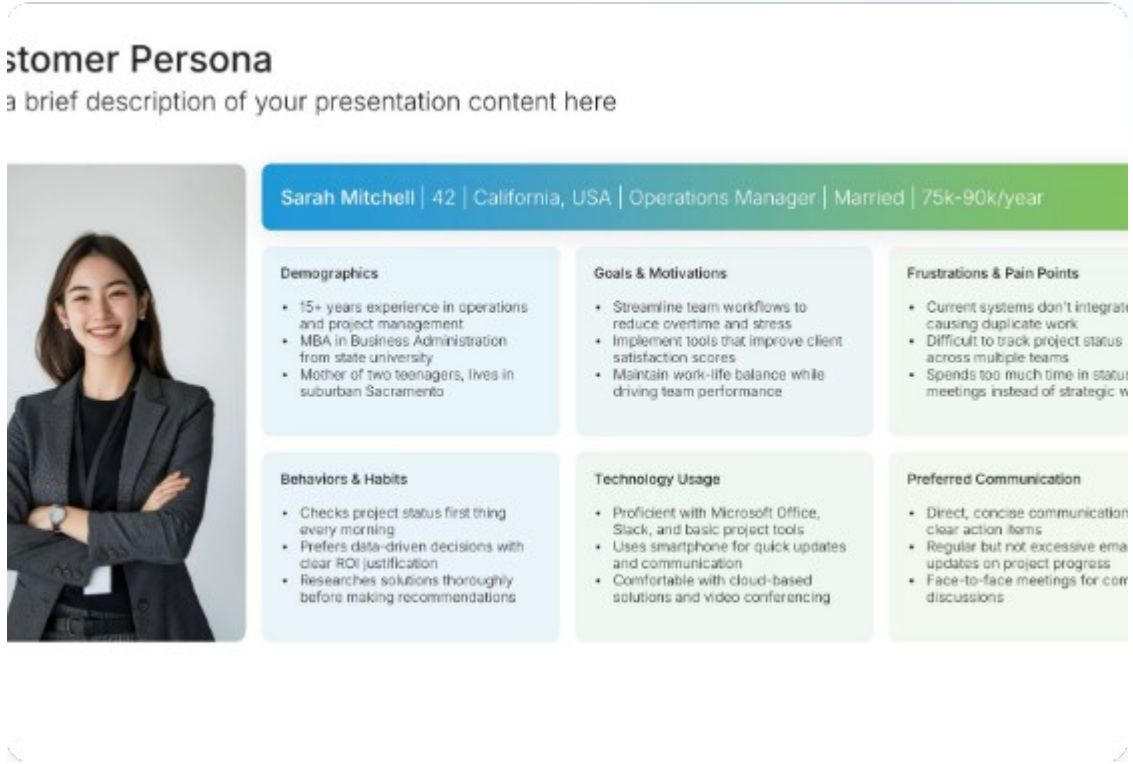
Core Customer Demographics

• **Mature & Stable Base:** Over 70% of cardholders are aged 45+ (38.7% over 65), providing a highly reliable deposit and revolving base.

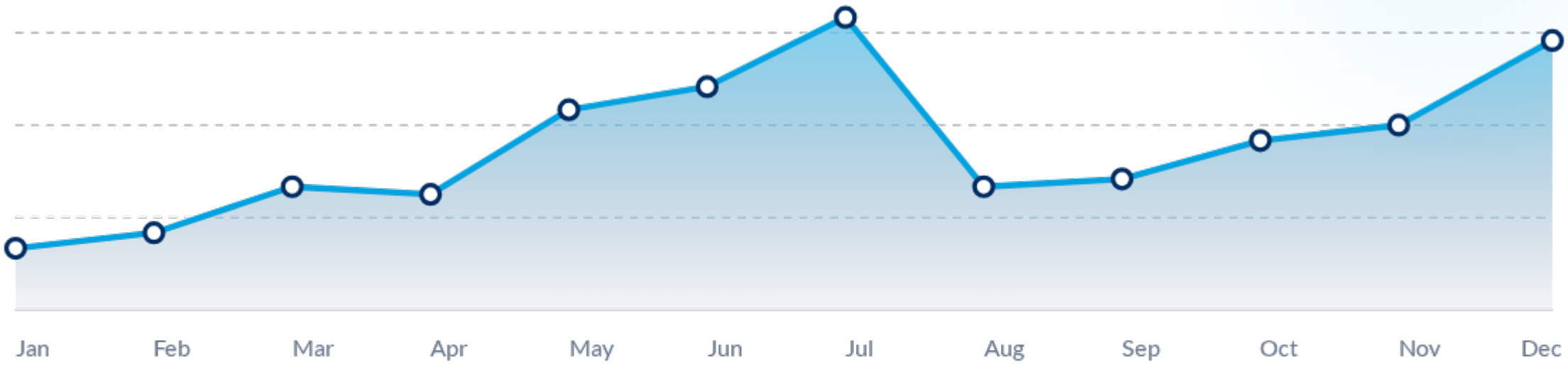
• **High Income Concentration:** 50.4% earn $100k+ annually ($100k–$150k band making up 504 accounts), showing strong financial standing.

• **Employment Profile:** 40.1% active workforce (full-time & part-time), 14.2% retirees, and 12.0% students.

• **Leadership Recommendation:** Launch digital acquisition campaigns targeting younger affluents (ages 25–40) to extend long-term customer lifetime value.



Kharismo – Spending Insights & Seasonality



Key Insight: Spend spikes in July ($4.40M) and December ($4.25M). Local cash withdrawals ($14.16M) rival local purchase transactions ($17.83M).

Recommendation: Introduce double reward points during summer/holiday travel and offer cash-back incentives to convert cash withdrawals into digital card transactions.

Kharismo – Default Risk Insights

Demographic Risk Drivers

• **Marital Status Impact:** Single cardholders present the highest risk score (0.43 mean), followed by Divorced (0.33) and Separated (0.32). Married cardholders are lowest risk (0.24).

• **Income Tier Correlation:** Strong inverse relationship (r = -0.33). Default risk declines consistently as annual income rises above $100k.

• **Age Correlation:** Minimal correlation (r = -0.07), indicating age is not a primary risk indicator.

Risk Exposure Mitigation

• **Underwriting Refinement:** Transition credit line calculations away from age and toward marital status and verified income bands.

• **Credit Limit Adjustments:** Tighten credit limits for single applicants in lower income bands while increasing limits for married, high-earning cardholders.

• **Dynamic Monitoring:** Implement automated early-warning alerts for cardholders utilizing over 80% of credit limits.

Kharismo – Charge & Fee Benchmarking

Bank / Product	Annual Fee ($)	Local Cash Charge (%)	Overseas Cash Charge (%)	Market Position
Citi Kharismo	**$150**	**15.0%**	**24.0%**	**Mass-Market Value (High Overseas Fee)**
Citi Card A	$400	19.0%	19.2%	Mid-Tier Executive
Citi Card B	$850	19.0%	22.0%	Premium Tier
Bank 1 (Avg)	$217	8.0%	19.6%	Low Cash Advance Competitor
Bank 2 (Avg)	$450	13.7%	16.4%	High Fee Tier

Pricing Anomaly Identified: Kharismo's $150 annual fee and 15% local cash fee are highly competitive. However, its **24.0% overseas cash charge** is the highest across all 15 industry cards analyzed.

Leadership Recommendation: Reduce overseas cash charge to ~18.0% to remove friction for international travelers while preserving strong margin.

Strategic Action Roadmap

Q1 - Pricing Adjustment

Reduce overseas cash fee to 18% to align with market benchmarks.

Q2 - Risk Refinement

Update underwriting models using marital status & income tiers.

Q3 - Spend Campaigns

Launch July summer travel double-points rewards promotion.

Q4 - Growth Expansion

Target digital acquisition campaigns to younger affluents (25–40).

Strategic Growth Vision

Unlocking Long-Term Portfolio Value

By optimizing fee structures and refining underwriting risk, Citi Kharismo is positioned to solidify its role as Citi's primary mass-affluent credit card.

Data-driven decision making ensures sustained profitability, lower default rates, and higher top-of-wallet adoption across key customer segments.



Questions & Discussion

Thank you for your time and guidance.

Citi Branded Cards & Retail Bank Division

Image Sources



https://assets.twodart.com/categories-core/customer-persona/175f267ca114/modern/ViCJuNBNrauN2d9IpVHU-light.jpg

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